NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 4

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

What is accounting profit?

a. Total revenue minus economic cost
b. Total revenue minus accounting cost
c. Total revenue minus explicit cost
d. Total revenue minus implicit cost

Correct Answer: c

Solution: Accounting profit: Total revenue-explicit cost

QUESTION 2:

The equilibrium rent on office space has just increased by Rs. 300/month. Determine the effect on accounting profit and economic profit if you rent your office space.

a. Accounting profit decreses by Rs. 300 but no impact on economic profit.
b. Economic profit decreses by Rs. 300 but no impact on accounting profit.
c. Both accounting and economic profit decreases by Rs. 300
d. Both economic and accounting profit will be unchanged.

Correct Answer: c

Solution: The increase in rent will affect both the accounting and economic profit. Both will be reduced by Rs. 300.

QUESTION 3:

The equilibrium rent on office space has just increased by Rs. 300/month. Determine the effect on accounting profit and economic profit if you own your office space.

a. Accounting profit decreases by Rs. 300 but no impact on economic profit.
b. **Economic profit decreases by Rs. 300 but no impact on accounting profit**.

c. Both accounting and economic profit decreases by Rs. 300
d. Both economic and accounting profit will be unchanged.

Correct Answer: b

Solution: Since, I own my office space, explicit cost do not change but implicit cost increases by Rs. 300. So, economic profit will decreaseby Rs. 300.

QUESTION 4:

The function that describes the increase in output resulting from an additional unit of an input, keeping all other input constant, is marginal product.

a. True
b. False

Correct Answer: a

Solution: By the definition of Marginal Product.

QUESTION 5:

Let L represent the number of workers hired by a firm, and let Q represent that firm's quantity of output. Assume two points on the firm's production function are (L = 7, Q = 105) and (L = 8, Q = 118). Then the marginal product of the 8th worker is

a. 20 units of output
b. 13 units of output
c. 19 units of output
d. 15 units of output

Correct Answer: b

Solution: By definition of MPL (Marginal Product of Labour), Unit change of worker (8-7=1) gives increase in output of 118-105= 13 units.

QUESTION 6:

Which of the following costs of a thermal power plant is variable cost?

a. Operational and maintenance cost
b. Fuel cost

c. Cost of land and erection of infrastructure
d. Both (a) and (b)

Correct Answer: d

Solution: Cost of land and erection of the infrastructure is fixed and other options are related to variable cost.

QUESTION 7:

Suppose that firm X increases the wages offered to its factory workers. Which of the following will occur?

a. FC should shift upward
b. AFC would shift downward
c. AVC would shift upward
d. AVC would shift downward

Correct Answer: c

Solution: Since wages is the part of variable cost, variable cost will be increased and would shift upward.

QUESTION 8:

A certain firm produces and sells pens. Last year it sold 11 million pens at a price of Rs30 per piece. For last year, the firm's

a. Accounting profit was Rs330 million
b. Economic profit was Rs330 million
c. Explicit cost was Rs330 million
d. Total revenue was Rs330 million

Correct Answer: d

Solution: Revenue=Price X quantity

QUESTION 9:

In the short run, all inputs are variable.

a. True
b. False

Correct Answer: b

Solution: In short run, some inputs are fixed (FC) and some are variable.

QUESTION 10:

Average fixed cost always falls as output increses.

a. **True**
b. False

Correct Answer: a

Solution: As quantity increases, average fixed cost will always decrease.

**********END*******